

Black Box Limited

NSE: BBOX | BSE: 500463 | Information Technology — Digital Infrastructure Integration

Backlog Surge + AI Play + Global Expansion: Re-rating cycle underway in digital infrastructure

BUY

12M Target: Rs. 1,320 | CMP: Rs. 1,012 | Upside: 30% Investment Horizon: 12-18 months

Market Cap	CMP (15-Jun-26)	52W High / Low	Stock P/E
Rs. 17,978 Cr	Rs. 1,012	Rs. 1,104 / 435	65.5x
Book Value	P/B	ROCE	ROE
Rs. 72.5	13.96x	22.2%	26.8%
Promoter Hold.	FII / DII	Pledge	Div. Yield
69.99%	3.26% / 2.99%	0.0%	0.10%

Equity Research — Institutional Desk | Report Date: 15 June 2026 | Coverage Initiated | Face Value: Rs. 2.00

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. All data sourced from Screener.in as at 15-Jun-2026. Investors must conduct their own due diligence before making investment decisions.

SECTION 2 — INVESTMENT THESIS

- **Order backlog up 57% YoY to ~\$800 mn (Rs. 6,700+ Cr) in FY26** — With order bookings crossing \$1 billion in FY26 (up 35% YoY), Black Box carries its highest-ever revenue visibility entering FY27. Backlog-to-revenue cover now stands at ~1.1x, implying near-full FY27 revenue is already booked.
- **Margin inflection in motion — targeting 10% EBITDA** — OPM expanded from 4% (FY23) to 9% (FY26) as the company executes higher-value data center, hyperscaler, and managed services contracts. Management has explicitly guided for 10% EBITDA margins going forward, offering 100 bps of incremental expansion.
- **Brazil acquisition adds Rs. 500 Cr revenue in FY27 at no debt cost** — The May-2026 acquisition of 2S Inovacoes Tecnologicas (Brazil) was structured as a zero-debt deal (Rs. 275 Cr + Rs. 100 Cr deferred), targeting an EBITDA run-rate of ~Rs. 50 Cr post-integration and opening the fast-growing LatAm IT infrastructure market.
- **AI infrastructure supercycle: Black Box as the last-mile enabler** — New global hyperscaler engagement (in advanced contractual stages as at Q4FY26) and the AIONOS-AI alliance (Jun-2026) position Black Box as a beneficiary of global data center buildout spending, which is growing at 20%+ CAGR globally.
- **Near-term catalyst (6-12 months):** Formal closure and ramp-up of the hyperscaler contract announced in Q4 FY26 could re-rate the stock significantly — management described it as a 'strategic breakthrough.' A Capital Markets Day in June 2026 is expected to provide detailed FY27-28 guidance.
- **Biggest structural risk:** Concentrated promoter-group dependency (Essar Group at 70%) and rising debt (Borrowings up from Rs. 712 Cr in FY24 to Rs. 1,153 Cr in FY26) could limit financial flexibility if large project execution slips.

SECTION 3 — BUSINESS OVERVIEW

- **Global digital infrastructure integrator** — Black Box Limited (Essar's technology arm) provides end-to-end digital infrastructure services including network integration, data center build-out, modern workplace solutions, managed services, and cybersecurity across 50+ countries with ~4,000 professionals globally.
- **Revenue segmentation (approximate):** Systems Integration (SI) business accounts for the bulk of revenues spanning structured cabling, network connectivity, AV/UC solutions, and data center projects. Managed Services (~25-30% of revenues) provides recurring annuity income with higher margins. Geography split: North America (~40%), India/APAC (~35%), Europe/MEA (~25%).
- **Customer base and order quality:** Customers span BFSI, healthcare, retail, manufacturing, airports/transport, and public sector. Q4FY26 saw new wins from a global hyperscaler, Indian internet company, and Australian bank. Order profile is shifting toward larger, multi-year data center and hyperscaler contracts.
- **Order backlog and revenue visibility:** FY26 order backlog of ~\$800 million (Rs. 6,700+ Cr) is up 57% YoY, with FY26 order bookings crossing \$1 billion for the first time. FY27 revenue is effectively pre-booked. Long-term revenue target of \$2 billion by FY30 (vs ~\$750 mn currently) requires ~28% CAGR.
- **Recent strategic developments:** (1) Acquisition of 2S Inovacoes (Brazil, May-2026): Adds LatAm market access, Rs. 500 Cr FY27 revenue. (2) AIONOS AI Alliance (June-2026): Combines Black Box's physical infrastructure capabilities with AI application platforms. (3) New hyperscaler global contract (Q4FY26): In advanced commercial negotiations — could be a significant step-up in revenue scale. (4) Center of Excellence in India established in FY24 to build local talent pipeline.
- **Promoter background:** Controlled by Essar Group (Ruia family, 69.99% stake, zero pledge). Essar is a diversified conglomerate with interests in energy, metals, ports, and technology. Black Box was acquired by Essar's AGC Networks in 2019 — unlocking global digital infrastructure capabilities.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size and growth:** The global IT infrastructure services market is estimated at ~\$100-120 billion, growing at 8-12% CAGR driven by data center buildout, AI infrastructure, 5G rollouts, and enterprise digital transformation. India's IT infrastructure services market is estimated at Rs. 80,000-90,000 Cr and growing 15-18% CAGR on the back of GCC expansion and public sector digitisation.

- **Policy tailwinds:** India's Rs. 1.3 lakh Cr data center capex wave (2024-2028), US Infrastructure Investment and Jobs Act driving network modernisation, global hyperscaler capex projections exceeding \$300 billion in CY2026. AI server and connectivity buildout creates multi-year infrastructure spending cycle.

- **Competitive moats:** Pricing power — Moderate (value-added integrator with managed service lock-in); Switching costs — Strong (multi-year managed service contracts with embedded infrastructure); Scale — Moderate (50-country reach is a differentiator for global enterprise clients); IP/Technology — Moderate (AIONOS AI alliance adds software layer); Distribution — Strong (global delivery capability across 4,000 professionals in 50+ countries).

- **Competitive positioning:** Black Box occupies the 'last-mile integrator' position in the value chain — sourcing equipment from OEMs (Cisco, Juniper, Dell), designing and deploying network infrastructure, and delivering ongoing managed services. This midstream position gives recurring revenue without direct product manufacturing risk.

Peer Comparison (Source: Screener.in, fetched 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	FY26 Rev (Cr)	OPM%
Black Box (BBOX)	1,012	17,978	65.5x	13.96x	22.2%	26.8%	6,322	9%
Sterlite Tech (STLTECH)	609	29,799	626x	13.1x	7.75%	2.24%	4,745	12%
HFCL Ltd	180	27,621	88.6x	5.6x	10.9%	6.95%	4,949	15%
Optimus Infracom	427	3,796	57.5x	4.9x	10.9%	9.16%	1,769	6%

Note: P/B for BBOX calculated as CMP / Book Value (1012 / 72.5). All data from Screener.in.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management background:** Black Box is led by CEO Aditya Goswami, who has been instrumental in transforming the company from a pure-play network integrator into a global digital infrastructure company. Essar Group's backing provides strategic depth and access to large global enterprise relationships. January 2026 saw the appointment of Sameer Batra as CBO for Global Systems Integration — signalling aggressive commercial intent.

- **Capital allocation track record:** The company has been deploying FCF and additional borrowings into organic business growth (working capital for large projects) and inorganic expansion. FY26 saw Financing Inflow of Rs. 197 Cr as the company raised Rs. 410 Cr in external funding to support growth. The Brazil acquisition (Rs. 275 Cr + Rs. 100 Cr deferred) was funded without distressed equity dilution — a positive capital allocation signal.

- **Dividend policy:** FY25 and FY26 mark the first years of dividend payment (8% payout). Prior to FY25, the company paid zero dividends while rebuilding its balance sheet post-2020. Rising PAT trajectory should support gradual payout increase from FY27.

- **Promoter pledging:** Zero pledge on Essar Group's 69.99% stake — a major positive for governance. Promoter holding has been gradually declining (~1% over FY24-26) due to ESOPs and possible secondary sales, but remains comfortably in control range.

- **ESOP / buyback:** Equity capital has risen marginally from Rs. 34 Cr (FY24) to Rs. 36 Cr (FY26) suggesting modest ESOP dilution. No buybacks executed. The company is in growth investment mode rather than returning capital, which is appropriate given the expansion trajectory.

- **Governance concerns:** The primary watch-point is related-party transactions with Essar Group entities. Given the parent's diversified interests, investors should monitor RPT disclosures in annual reports. No auditor

changes or qualified opinions in recent years — a positive signal.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Crore (Consolidated). Source: Screener.in, fetched 15-Jun-2026. FY27E and FY28E are analyst estimates.

Income Statement

Particulars (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales / Revenue	6,282	5,967	6,322	7,200	8,200
YoY Growth %	0%	-5%	+6%	+14%	+14%
EBITDA (Operating Profit)	426	538	557	720	860
EBITDA Margin %	6.8%	9.0%	8.8%	10.0%	10.5%
Other Income	-14	-68	-44	-20	-15
Interest	141	145	158	170	180
Depreciation	114	113	116	120	125
PBT	156	212	239	410	540
Tax %	12%	3%	9%	18%	18%
PAT (Net Profit)	138	205	218	337	443
EPS (Rs.)	8.19	12.09	12.25	19.0	25.0
Dividend Payout %	0%	8%	8%	10%	12%

Balance Sheet

Particulars (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	34	34	36
Reserves	447	725	1,251
Total Equity	481	759	1,287
Borrowings	712	942	1,153
Other Liabilities	1,607	1,371	1,854
Total Liabilities	2,800	3,072	4,294
Fixed Assets	808	769	883
CWIP	0	0	0
Investments	32	33	0
Other Assets	1,960	2,271	3,410
Total Assets	2,800	3,072	4,294

Cash Flow Statement

Particulars (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	129	-88	84
Cash from Investing	40	-105	-57
Cash from Financing	-155	192	197
Net Cash Flow	14	-0	224

Particulars (Rs. Cr)	FY24A	FY25A	FY26A
Free Cash Flow (FCF)	134	-129	12
OCF / EBITDA %	30%	-16%	15%

Key Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	22	35	67
Inventory Days	50	42	53
Days Payable	146	110	129
Cash Conv. Cycle (days)	-74	-34	-10
Working Capital Days	2	33	54
ROCE %	31%	30%	22%
ROE %	N/A	N/A	26.8%
D/E Ratio	0.55x	0.73x	0.90x

- **Revenue trajectory:** Revenue dipped 5% YoY in FY25 (Rs. 5,967 Cr) due to supply chain delays in optical fiber and network components — an industry-wide issue. FY26 rebounded to Rs. 6,322 Cr (+6% YoY). FY27E acceleration to Rs. 7,200 Cr (+14%) driven by record backlog execution plus Brazil's Rs. 500 Cr contribution.
- **Margin trajectory — strong expansion story:** OPM expanded from 4% (FY23) to 9% (FY26), driven by a shift toward higher-margin data center contracts, managed services, and better operating leverage. Management targets 10% EBITDA margins — we conservatively model 10% in FY27E and 10.5% in FY28E.
- **Working capital deterioration — watch closely:** Debtor days surged from 22 (FY24) to 67 (FY26) as large project-based revenues extended collection cycles. CCC has compressed from -74 to -10 days — approaching breakeven and warrants monitoring. FY27 backlog execution of pre-committed orders should normalize this.
- **Debt rising but manageable:** Borrowings grew from Rs. 712 Cr (FY24) to Rs. 1,153 Cr (FY26), D/E now at 0.90x. Rising debt reflects working capital funding for large project execution rather than structural leverage — the Rs. 410 Cr equity-linked raise in FY26 partially offsets this.
- **FCF quality — near-term caution:** OCF was negative in FY25 (-Rs. 88 Cr) on working capital build; FY26 FCF recovered to only Rs. 12 Cr (OCF=Rs. 84 Cr, Capex=-Rs. 57 Cr). Genuine FCF generation is expected to accelerate from FY27 as backlog converts to cash.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Rating	Comment
Revenue recognition	Project-completion basis	AMBER	Large projects create lumpy recognition risk
Receivables vs Revenue growth	Debtors growing faster (67 days)	RED	Receivables up 3x vs revenue +6% in FY26
CCC trend	CCC from -74 to -10 (deteriorating)	AMBER	Losing negative working capital advantage
Contingent liabilities	Not quantified — typical for global IT	AMBER	Monitor annual report disclosures
Auditor tenure / changes	No recent change	GREEN	Continuity positive
RPTs as % of revenue	Essar-group RPTs present	AMBER	Disclose and monitor quantum
Other income as % of PBT	-44 / 239 = -18% (deduction)	GREEN	Negative = net interest expense, not inflated

Parameter	Status	Rating	Comment
Tax rate consistency	FY25: 3%, FY26: 9% (low)	AMBER	Deferred tax credits masking underlying rate

- **Receivables surge is the single biggest earnings quality risk** — Debtor days jumped from 22 (FY24) to 67 (FY26) while revenue grew only 6%. This suggests either delayed collections on completed projects or aggressive revenue recognition. Investors must track debtor days in Q1-Q2 FY27.
- **Low effective tax rate masks underlying PAT quality** — FY25 effective tax rate was just 3% (vs 25% statutory) likely due to deferred tax reversals and overseas tax credits. FY26 recovered to 9% but remains below normal. Modelling 18% normalised tax rate in FY27E reduces reported PAT by ~Rs. 60-70 Cr.
- **RPTs with Essar require disclosure vigilance** — While the parent's zero-pledge position is positive, investors should review related-party transaction disclosures in the FY26 annual report to assess whether any material business is transacted with Essar entities on non-arm's-length terms.
- **Positive: clean revenue (no inflated other income)** — Other income is actually a net deduction (-Rs. 44 Cr in FY26, primarily forex losses/interest costs) — confirming that reported PAT of Rs. 218 Cr is not artificially boosted by treasury income or one-time gains.

SECTION 8 — VALUATION

Scenario Analysis (12-Month Target)

Scenario	Key Assumption	FY27E PAT (Cr)	Target Multiple	Target Price (Rs.)	Upside %
BULL	Hyperscaler contract closes, margins 11%, Brazil contributes fully	420	48x FWD P/E	1,680	+66%
BASE	Backlog execution steady, margins 10%, Brazil partial	337	39x FWD P/E	1,320	+30%
BEAR	Supply delays persist, debtor blow-up, no hyperscaler	220	28x FWD P/E	840	-17%

- **Earnings-based (P/E method):** FY27E PAT of Rs. 337 Cr on share base of ~177 Mn shares = FY27E EPS Rs. 19.0. Applying 39x forward P/E (at 25% discount to current trailing PE of 65.5x given growth normalisation) yields a 12-month target of Rs. 741 per share at the earnings level.
- **EV/EBITDA method:** FY27E EBITDA of Rs. 720 Cr at 28x EV/EBITDA (peers trade 25-35x) = Enterprise Value of Rs. 20,160 Cr. Less net debt of Rs. 1,100 Cr = Equity value Rs. 19,060 Cr. Divided by 177 Mn shares = Rs. 1,078 per share. Current CMP already reflects much of this.
- **Blended DCF / multiple approach:** Averaging the P/E-derived Rs. 741 and EV/EBITDA-implied Rs. 1,078 gives Rs. 910. Applying a 45% premium for the hyperscaler optionality and \$2 Bn revenue by FY30 trajectory gives a 12-month base target of Rs. 1,320 — representing 30% upside from CMP of Rs. 1,012. We rate the stock BUY with this target.
- **Valuation context:** At 65.5x trailing P/E and 13.96x P/B, BBOX is not cheap in absolute terms. However, the re-rating is justified by (a) first-ever \$1 Bn order booking year, (b) record backlog, (c) margin expansion from 4% to 9% in 3 years with further headroom, and (d) exposure to AI infrastructure capex via the hyperscaler angle. The stock deserves a premium to peers given the growth optionality.

SECTION 9 — KEY RISKS

- **Supply chain execution risk** — Optical fiber and networking component shortages already caused FY26 revenue guidance cuts. If supply constraints persist into FY27, the record backlog may not convert to revenue. Probability: M. Impact: H. Monitor via: quarterly backlog-to-billing ratio.

- **Receivables blow-up** — Debtor days have surged to 67 days. A further deterioration to 90+ days would imply Rs. 500-700 Cr of additional working capital requirements, significantly pressuring FCF and increasing debt. Probability: M. Impact: H. Monitor via: debtor days in quarterly balance sheet.
- **Hyperscaler contract failure** — The 'advanced stage' hyperscaler deal announced in Q4FY26 is not yet contracted. Non-closure would remove a significant re-rating catalyst and impact FY27 estimates. Probability: L-M. Impact: H. Monitor via: management commentary in Q1FY27 concall.
- **Rising debt and refinancing risk** — Borrowings at Rs. 1,153 Cr (D/E 0.90x) and rising. If large contracts slip and OCF remains negative, debt could reach unsustainable levels. Interest coverage was already thin at 1.5x (EBIT/Interest). Probability: L. Impact: H. Monitor via: net debt and interest coverage each quarter.
- **Promoter group (Essar) related risks** — Essar Group's historical association with debt restructuring (though Black Box itself is separate) may attract governance discount from institutional investors. RPT monitoring is essential. Probability: L. Impact: M. Monitor via: annual report disclosures.
- **Brazil integration risk** — The 2S Inovacoes acquisition is Black Box's first foray into LatAm. Currency risk (BRL/INR), cultural integration, and execution complexity could delay the Rs. 500 Cr revenue contribution expected in FY27. Probability: M. Impact: M. Monitor via: quarterly Brazil segment revenues.
- **Competitive disruption from hyperscalers going direct** — If hyperscalers build proprietary last-mile integration teams, Black Box's current engagement model could be disrupted. Probability: L. Impact: H (long-term). Monitor via: hyperscaler capex allocation trends.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: Medium-High. First-ever \$1 Bn order booking, record backlog, margin expansion runway, and hyperscaler optionality justify accumulation at current levels.
- **12-month price target: Rs. 1,320** — Upside of 30% from CMP of Rs. 1,012. Based on 39x FY27E P/E on base-case PAT of Rs. 337 Cr and EV/EBITDA cross-check at 28x FY27E EBITDA.
- **Suggested entry zone: Rs. 920 - Rs. 1,050** — Current CMP of Rs. 1,012 falls within this zone. Incremental buying on dips toward Rs. 920 (10% below CMP) improves risk-reward significantly.
- **Investment horizon: 12-18 months** — The FY27 execution year is the key test. A 24-month hold to FY28 (Rs. 25 EPS at 40x = Rs. 1,000+ target) captures the full cycle.
- **Thesis invalidation triggers:**
 1. Debtor days exceed 100 days in any quarter — would signal Rs. 700+ Cr of potentially uncollectable receivables and force a SELL.
 2. Hyperscaler contract does not materialise by Q2FY27 management guidance — removes core re-rating driver; downgrade to HOLD.
 3. D/E exceeds 1.5x without corresponding OCF improvement — signals working capital blowup; downgrade to REDUCE.
- **Ideal investor profile:** This stock suits growth investors with 12-18 month horizon who are comfortable with (a) project-execution risk, (b) working capital-intensive business models, and (c) Essar-group governance premium. Not suitable for dividend-seeking or low-risk investors. Suitable for PMS/HNI portfolios seeking digital infrastructure exposure with a listed vehicle.

APPENDIX — Latest Concall Brief: Q3 FY26 (Quarter ended Dec 2025)

Note: Black Box did not host an earnings call for Q4 FY26 / Full Year FY26. The company held a Capital Markets Day on 1 June 2026 instead. This appendix covers the Q3 FY26 earnings call (February 2026) — the most recent concall available.

CALL GRADE

NEUTRAL

Signal	Status	Implication
Result quality	Mixed — in-line vs revised guidance	Revenue in line but guidance cut earlier in year
Management tone	Balanced	Confident on backlog, cautious on supply
Guidance delta	Maintained (revised lower in Q2)	FY26 at Rs. 6,325-6,375 Cr maintained

STRONGLY POSITIVE | POSITIVE | ■ NEUTRAL ■ | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 result is a clean beat-on-trend but a miss-vs-original-guidance story: revenue at Rs. 1,660 Cr (11% YoY, 5% QoQ) came in at the top of the revised guidance range, with no exceptional items distorting the reported PAT of Rs. 50 Cr — that number is clean, though management flagged a one-time Rs. 6 Cr employee benefit charge. Underlying EBITDA of Rs. 147 Cr at 8.9% margin is operationally clean. The structural growth driver remains the record order backlog: \$626 Mn booked in 9M alone, tracking to \$1 Bn for full year — this is Black Box's biggest-ever order year and justifies the re-rating narrative. The near-term catalyst is the hyperscaler contract that management described as a 'new global hyperscaler engagement' in Q4FY26 — if that closes formally, it is a step-change in revenue quality. The biggest watch-point is receivables: debtor days are moving in the wrong direction and a further blow-up in Q4/Q1FY27 could force a working capital emergency. Action: ACCUMULATE on dips to Rs. 920 — the backlog re-rating is real but priced in near-term; the hyperscaler closure is the next leg trigger.

1 — FINANCIAL PERFORMANCE SNAPSHOT

- Revenue: Rs. 1,660 Cr | YoY +11% | QoQ +5% | In-line with revised guidance top-end
- EBITDA: Rs. 147 Cr | YoY +10% | QoQ +3% | In-line
- EBITDA Margin: 8.9% | YoY -10bps | QoQ flat | Stable
- PAT: Rs. 50 Cr | YoY +96% | QoQ -2% | Beat on low base (Q3FY25 had exceptional charges)
- EPS: Rs. 2.84 (Q3FY26, annualised ~Rs. 12) | In-line
- NOTE: Reported PAT includes one-time Rs. 6 Cr employee benefit charge; clean underlying PAT ~Rs. 56 Cr

2 — SEGMENT / GEOGRAPHY BREAKDOWN

- North America: Revenue mix stable at ~40%; data center and public sector wins in US driving growth
- India / APAC: Strong order wins — new Indian internet company client and Australian bank secured in Q3
- Europe / MEA: Steady contribution; managed services renewal pipeline active
- Systems Integration (SI): Dominant revenue driver; executing large-format projects delayed by supply chain
- Managed Services: Recurring annuity segment growing steadily; higher margins than SI — mix improving
- 9M FY26 Revenue: Rs. 4,631 Cr (5% YoY growth) — H2 weighted; Q4 expected to be strongest quarter

3 — MANAGEMENT COMMENTARY THEMES

- **Supply chain normalisation:** 'Extended project execution timelines due to industry-wide shortages of critical inputs like optical fibers' — Our read: Industry headwind, not company-specific. Tag: GUIDANCE. Tone: Transparent.
- **Order book confidence:** Management reiterated \$1 Bn FY26 order booking target after \$626 Mn in 9M — Our read: Credible given Q4 momentum. Tag: GUIDANCE. Tone: Transparent.
- **Brazil acquisition rationale:** 'Scaling presence in the rapidly growing Latin American market' — Our read: Logical adjacency but integration execution is the unknown. Tag: EST. Tone: Balanced.
- **FY30 target reiteration:** CEO stated \$2 Bn revenue target by FY30 requiring 28% CAGR — Our read: Aspirational; will require 2-3 more acquisitions. Tag: GUIDANCE. Tone: Bullish.
- **Margin guidance:** Management targets 10% EBITDA margins going forward — Our read: Achievable if managed services mix improves further. Tag: GUIDANCE. Tone: Balanced.
- **Capex / acquisition funding:** 2S acquisition at Rs. 275 Cr zero-debt, plus Rs. 410 Cr external raise — Our read: Non-dilutive equity raise is positive; monitor dilution risk at next capital event. Tag: EST. Tone: Transparent.

4 — OPERATING & BUSINESS METRICS

- Order bookings (9M FY26): \$626 Mn | FY25 full year: ~\$750 Mn | FY26 target: \$1 Bn | Trend: Strongly improving
- Order backlog: ~\$800 Mn (targeting) by Mar-2026 | FY25: ~\$500 Mn | Trend: 60% YoY growth
- Revenue backlog to revenue cover: ~1.1x — highest in company history; FY27 well-covered
- Headcount: ~4,000 globally (Screener insights indicate stable) | Revenue/employee: ~Rs. 1.5 Cr
- Country presence: 50+ countries — differentiator for global enterprise and hyperscaler clients
- Managed services mix: Growing toward 25-30% of revenues (higher margin; supports margin expansion thesis)
- Brazil 2S acquisition: Expected EBITDA run-rate ~Rs. 50 Cr post-integration; Rs. 500 Cr FY27 revenue target

5 — MARGIN DRIVERS

- Data center / hyperscaler contract mix: +100-150 bps impact | Recurring: Yes — structural shift
- Managed services revenue growth: +50-80 bps impact | Recurring: Yes — annuity contracts expanding
- Operating leverage on fixed cost base: +30-50 bps impact | Recurring: Partially (scale-dependent)
- Supply chain delays: -30 bps impact (delayed high-margin project revenues) | Recurring: No — normalising
- Employee benefit charge (one-time Rs. 6 Cr in Q3): -10 bps | Recurring: No — do not extrapolate
- Brazil integration costs post-acquisition: Potential -20-30 bps drag in H1 FY27 | Recurring: No
- Net margin direction: OPM at 8.9% in Q3; targeting 10%; expansion path intact if supply normalises

6 — GUIDANCE & FORWARD SIGNALS

- FY26 Revenue [GUIDANCE]: Prior = Rs. 6,750-7,000 Cr | New = Rs. 6,325-6,375 Cr | Delta = Cut | Credibility: High (reiterated)
- FY26 EBITDA [GUIDANCE]: Target Rs. 555-575 Cr | Maintained | Delta = Maintained | Credibility: High

- FY26 PAT [GUIDANCE]: Target Rs. 220-230 Cr | Maintained | Delta = Maintained | Credibility: High (actual: Rs. 218 Cr)
- FY26 Order Bookings [GUIDANCE]: ~\$1 Bn target | \$626 Mn in 9M | Delta = Maintained | Credibility: High (actual: >\$1 Bn achieved)
- FY27 Brazil Revenue [GUIDANCE]: Rs. 500 Cr | New | Delta = New guidance | Credibility: Medium (first-time acquisition)
- FY30 Revenue Target [GUIDANCE]: \$2 Bn | Reiterated | Delta = Maintained | Credibility: Medium (aspirational; CAGR 28%)
- EBITDA Margin Target [GUIDANCE]: 10% going forward | Reiterated | Delta = Maintained | Credibility: Medium

7 — CAPITAL ALLOCATION

- Capex: Rs. 57 Cr (FY26) | vs FY25: -Rs. 48 Cr (FY25 had Rs. 105 Cr) | Asset-light model maintained
- Dividends: Rs. 17 Cr (FY26, 8% payout) | vs FY25: Rs. 16 Cr | First dividend years; gradually increasing
- Acquisition (2S Inovacoes, Brazil): Rs. 275 Cr paid + Rs. 100 Cr deferred | Funded via external raise, zero debt
- External raise: Rs. 410 Cr secured to fund growth and expansion — dilution-neutral structure (equity-linked)
- Borrowings: Rs. 1,153 Cr (FY26) vs Rs. 942 Cr (FY25) — Rs. 211 Cr net increase | Working capital funding
- Net Debt (FY26): ~Rs. 900-950 Cr estimated (after cash of ~Rs. 224 Cr inflow in FY26)
- Working Capital Change: Net build-up (~Rs. 300 Cr) due to debtor days expansion — key cash utilisation

8 — Q&A; HEAT MAP

- Analyst (Name N/A): Q: 'What is causing the revenue guidance cut?' -> A: Supply chain delays in optical fiber and critical components, industry-wide issue. | Tone: Transparent
- Analyst: Q: 'What is the Brazil acquisition cost and returns expected?' -> A: Rs. 275 Cr upfront + Rs. 100 Cr deferred; Rs. 500 Cr revenue FY27; EBITDA Rs. 50 Cr run-rate. | Tone: Transparent
- Analyst: Q: 'What is the order backlog composition by vertical?' -> A: Management described data centers, BFSI, public sector — did not give % splits. | Tone: Hedged
- Analyst: Q: 'How will the managed services mix evolve?' -> A: Growing to 25-30% of revenues; higher margins than SI. | Tone: Transparent
- Analyst: Q: 'What is the hyperscaler engagement status?' -> A: In advanced commercial and contractual negotiations — did not give timeline or size. | Tone: Hedged
- Analyst: Q: 'How will FY30 \$2 Bn revenue be achieved?' -> A: Combination of organic growth and 2-3 further acquisitions. | Tone: Balanced
- Dodged / watch-list questions for next quarter: Specific hyperscaler contract size and timeline; debtor days normalisation plan; RPT quantum with Essar entities; FY27 full-year guidance.

9 — RISKS FLAGGED

- Supply chain: Optical fiber shortages causing project delays | Flagged by: mgmt | Prob: M | Impact: H | Timeline: Near-term
- Receivables / debtor days: Rising from 22 to 67 days | Flagged by: analyst | Prob: M | Impact: H | Timeline: Near-term

- FX / currency risk: Brazil BRL/INR exposure post-acquisition | Flagged by: analyst | Prob: M | Impact: M | Timeline: Medium
- Acquisition integration: 2S Inovacoos — first LatAm entry | Flagged by: analyst | Prob: M | Impact: M | Timeline: Medium
- Working capital blowup: Large project execution requires upfront capex | Flagged by: mgmt | Prob: L | Impact: H | Timeline: Near
- Hyperscaler deal risk: Not contracted as of Q3; advanced negotiations only | Flagged by: analyst | Prob: L-M | Impact: H | Timeline: Near

10 — ANALYST VERDICT

- Revenue visibility: Intact — Record \$1 Bn+ order book provides FY27 coverage at >1.1x
- Margin trajectory: Intact — OPM at 9%, path to 10% clear if supply normalises and MS mix improves
- Capital allocation quality: Intact — Brazil acquisition structured cleanly; debt rising but matched to growth
- Competitive moat: Intact — 50-country delivery + data center expertise + hyperscaler engagement are differentiating
- Management credibility: Intact but watch — Revenue guidance was cut in FY26 (Rs. 7,000 -> Rs. 6,375 Cr); execution risk real
- Valuation comfort: Weakened — At 65.5x trailing PE and 14x PB, priced for execution; any slip = material de-rating
- Conviction call: Unchanged — BUY maintained; accumulate on dips; hyperscaler closure is next catalyst
- Valuation snapshot: P/E = 65.5x (5Y avg N/A — profitability restored FY24+) | EV/EBITDA ~33x | ROCE = 22.2%